Learning Activity Week 7 Report

Victoria Lee

UMGC: University of Maryland Global Campus

BMGT 380: Business Law I

Primary Instructor Tara Estwick

7/26/2024

TO: Winnie James, Ralph Anders

FROM: Victoria Lee

RE: Clean Agency Law and Contract

DATE: 7/26/2024

Introduction:

Over the past few weeks, TLG discussed a variety of laws with Viral Clean ("Clean") owners regarding the importance of contracts for effective recruitment and hiring. Moreover, Clean would like to hire an expert to employ the best employees suited for Clean. Clean wants future working employees to develop and manage their website, internal computer systems, and IT support. George Tacy is Clean's agent in hiring website/computer/IT employees and Clean wants to give full authority to Tacy to direct every aspect of recruitment of these employees, from the initial recruitment of applicants to the final hiring process. Clean owners want to ensure that their agreement with Tacy will be valid and include all essential terms. This report shall examine agency law, agreements, and how it would best benefit Clean in this scenario with George Tacy. It should break down any inquiries relating to the rights of Clean, the rights of Tacy, and the possible liabilities Clean may face. The solutions below imply that Clean has the right as the principal to hire an agent to fulfill certain duties and that the principal is liable for the agent's actions of possible liabilities against Clean.

1. Analyze and explain the rights of Clean under the agency agreement with Tacy.

Before examining Clean's rights in the agency agreement with Tacy, it is crucial to comprehend these terms as both have certain rights based on this agency

contract. An agency is a relationship between two parties in a legal contract, where the agent acts on behalf of and under the control of a principal (Müller-Freienfels, 2024). For instance, employees are agents, and the boss is the principal. For this scenario between Clean and George Tacy, it is considerate to view both rights. In this case, Clean is the principal as Clean is a business company that needs agents and Tacy is an agent (Saylor Foundation, 2012, Chapter 20). An agent is a party in an agency relationship with the principal, who controls the agent (Sherman, 2018). Principals are bound and liable for the actions of the agents hired (Müller-Freienfels, 2024). The principal has the authority to make certain decisions or actions for the agent (Sherman, 2018). When an employee's boss provides a person with a task, the employee must complete what is required. A principal must honor a contract with the agent, deal fairly with a task to an agent, and control the agent depending on the contract (Sherman, 2018). The principal must also define the responsibilities and possible authority that Tacy may have as the agent through writing or implication. The contact policies allow Clean to hire Tacy as an agent to find other future employees for Clean's business and accomplish the task diligently. As the principal, Clean has the right to the performance, information, and loyalty that Tacy must accomplish for Clean in return for a principal-agent relationship. Clean has the right to inform Tacy's duties and monitor progress in the actions taken to employ future employees on Clean's behalf. Tacy should keep Clean updated on the recruitment progress, the pool of applicants, and any relevant developments. Both should have good communication to ensure transparency, alignment, accountability, and information regarding the tasks Tacy must complete. Clean also has the right to limit Tacy from following self-interest matters directly

related to the agency agreement between the parties (Sherman, 2018). Tacy owes Clean a duty of loyalty and must act solely in Clean's best interests while avoiding any conflicts of interest. If Tacy violates the agent's obligations or acts negligently, Clean has the right to end the contract and compensation for the loss (Saylor Foundation, 2012, Chapter 21). For instance, if Tacy's actions or incorrect hiring led to losses, harm, or failure to comply and complete the tasks, Clean can end the agency contract and compensation. In addition, if Tacy's actions deviate from Clean's interests, Clean can rectify the situation by superseding authority over Tacy to end the contract and compensation. Clean can also terminate the contract by operation laws for scenarios like bankruptcy, death, or stock crash affecting the company (Müller-Freienfels, 2024). This protects Clean's interests and ensures that Tacy fulfills his duties diligently. Clean has the right that as the agent, Tacy will perform all duties efficiently and in compliance with the terms of the agreement. This includes Tacy's responsibility to recruit and hire qualified website, computer, and IT employees. As an agent, Tacy must complete Clean tasks and criteria when finding these possible future employees to work for Clean's business. Therefore, as the principal, Clean has the right to the performance, accountability, information, seeking full indemnity, superseding authority, and loyalty that Tacy must accomplish for Clean as an agent.

2. Identify and explain two specific acts Tacy could take under the implied authority of this agency agreement.

Before providing the two specific acts that Tacy may take under implied authority, it is best to comprehend the terms to break the case down smoothly. As previously mentioned, an agent is a party in an agency relationship with the principal,

who controls the agent with tasks to accomplish diligently (Sherman, 2018). As an agent, Tacy must follow the duties of an agent to fulfill the tasks provided by the principal. Tracy's obligations are to fulfill duties such as fiduciary and general duties. Tacy must follow the tasks from the principal Clean to ensure proper agreement and commitment (Saylor Foundation, 2012, Chapter 20). General duties, including duty of skill and care, are what Tracy must accomplish. Failure to do so to complete the tasks would violate the duties of the principal. In addition, Tracy seems to fit into the category of a general agent which is the authority for transactions in the name and on behalf of the principal (Saylor Foundation, 2012, Chapter 20). This allows the general agent to have the authority to act in any way required by the principal's business. In addition, Tacy's actions can complete these tasks under Clean's name and on their behalf. Tacy's actions directly impact Clean's business operations and will fulfill the part where Tacy acts on behalf of the principal. In most cases, the general agent is mostly liable for the subagent's actions. The agent's obligations and authority are to complete the task the principal says or requests and when the agent deals with a third party to act for the principal (Saylor Foundation, 2012, Chapter 20). When a contract is made, a principal can limit the authority of agents by implying it clearly within the agreement (Saylor Foundation, 2012, Chapter 20). For this scenario, Tacy's implied authority and rights to help Clean find the best candidates for the business are crucial for Clean to have a long-term relationship with Tacy. As previously mentioned, Tacy's role as the agent is to fulfill the duties that Clean requested while meeting the terms of the agency agreement. Implied authority refers to actions reasonably necessary to carry out and fulfill the agency contract's purpose (Saylor Foundation, 2012, Chapter 21).

The two specific acts Tacy could take are the processes of selecting the best candidates to recruit and negotiating employment terms. The first action as an agent for Clean, Tacy has the authority to handle recruitment and hiring. This includes finding the right employees to manage the website, internal computer systems, and IT support. This makes Tacy's primary duty to recruit and hire qualified employees for Clean. Tacy must effectively find suitable candidates, assess their qualifications, and recommend the most qualified individuals for Clean's company. Tracy can do this by following a fair and transparent process such as interviews or resumes to see possible candidates that are qualified for Clean's business. This ensures that Clean's request for technical skills, cultural fit, and any possible experiences that future employees may have are met. Conducting interviews, checking the resumes for the qualifications, and recommendations to Clean eligible future employees, falls within the scope of Tacy's implied authority. The second action as an agent for Clean, Tacy has the authority to negotiate employment terms such as salary, benefits, and start dates with the passing qualified candidates. Through implied authority, as the principal, Clean can authorize Tracy to have implied authority to make these negotiations with passing qualified candidates for Clean's business. This makes Clean dependent on Tacy to secure good candidates and terms while adhering to company policies and legal requirements. When Clean implements a well-defined agency agreement, it helps outline Tacy's authority, responsibilities, and limitations to help effectively achieve the recruitment goals. Therefore, Tracy's actions as the agent utilizing the implied authority will ensure the proper recruitment of qualified candidates and proper negotiations with employee terms to complete the tasks of the agency agreement with Clean.

3. Analyze and explain two potential liabilities Clean could face under the agency agreement with Tacy.

Despite the authority Clean has over Tacy, there are potential liabilities that Clean could face when an agent is liable for contracts such as express, implied, and apparent authority (Saylor Foundation, 2012, Chapter 21). Tacy's possession of these authorities would make Clean's contract liable based on Tacy's actions and possibly illegal activities including cyber and tampering with digital data (Saylor Foundation, 2012, Chapter 21). Moreover, the two potential liabilities against Clean under the agency agreement with Tacy would be Tacy's unauthorized acts and negligence. For instance, if Tacy exceeds the authority to hire an employee without Clean's approval or meeting the criteria as tasked, Clean could be liable for Tacy's unauthorized actions. If Tacy is in a hurry or hiring the wrong candidate without approval by Clean, Clean may face the consequences of a possible liability against Clean. The principle of "respondent superior" holds Clean responsible for Tacy's actions within the scope of employment (Saylor Foundation, 2012, Chapter 21). These unauthorized acts are also for contractual commitments as well. If Tacy makes contracts on Clean's behalf without proper authorization such as signing a long-term lease for office space, Clean could be bound and liable for those agreements. To prevent this, Clean must ensure that Tacy's actions align with its business goals and legal limits. Moreover, negligence in hiring decisions for Tracy also places Clean liable. Based on the role of an agent in accomplishing the duties and exercising reasonable care, if Tacy fails to exercise reasonable care in recruiting and selecting employees, Clean is liable for Tacy's incompetent candidates and neglecting background checks (Saylor Foundation, 2012,

Chapter 21). Incompetent hires are detrimental to Clean's business as it does not promote good candidates to ensure the business structures are running and completing the tasks on time. If Tacy recruits employees lacking the talents, skills, or qualifications, Clean may suffer operational inefficiencies, improper cross-training of employees due to a single point of failure, and financial losses. For instance, hiring an IT specialist who cannot troubleshoot critical systems and resolve internet outbreaks is detrimental to the business.In addition, if Tacy or any of the hired employees are engaged in these activities with substantial evidence, Clean would be liable for these illegal actions as the principal is liable for the agent's actions (Saylor Foundation, 2012, Chapter 21). Clean, as the principal, must honor the contract fairly with Tacy, and as the agent, Tacy must act loyally and diligently in Clean's best interests. This implies that Clean must have a clearly defined agency agreement that outlines Tacy's authority, duties, and limitations (Saylor Foundation, 2012, Chapters 20 and 21). This would prevent any liabilities against Clean and further promote a better long-term relationship with Tacy if Clean chooses to do so. Both parties should have good communication and agreements to ensure future business with one another and a successful relationship. Additionally, if Clean decides to hire Tacy as an employee or independent contractor applies to this case as well. If Clean hires Tacy as an employee, lowers the chances of liability against Clean than if Clean hired Tacy as an independent contractor. Employee contracts are usually under the direct control of Clean, such as control over Tacy's work hours, and managing tasks (Saylor Foundation, 2012, Chapter 20). However, employee contracts are more costly for salaries, payroll taxes, benefits, and worker's compensation for injuries incurred

during the job. If Clean hires Tacy as an employee, Clean would have the right to have direct control over Tacy's work, work hours, and managing tasks. When making this contract, it is considerate to determine the costs and the burdens of making Tacy an employee. This includes higher costs regarding salary, benefits, workers' compensation, managing payroll, and compliance requires administrative effort. If an employee has incurred injuries during the job, Clean must provide compensation through worker's compensation. Even though it is costly for the benefits, it prevents the employee from suing or claiming liabilities against Clean to damage the business. Meanwhile, independent contractors are people in a contract with an employer to perform services and are not controlled by the employer's right to control (Saylor Foundation, 2012, Chapter 20). If Tacy is injured during the job and is an independent contractor with Clean, Tacy may not be eligible for workers' compensation. This could increase the chances of Tacy filing liabilities against Clean that may damage the business. For this scenario, it may be better that Tacy is employed as an employee contractor so that Clean can actively monitor Tacy's actions, set clear guidelines, and ensure compliance with legal requirements. A well-defined agency contract for the terms, agreements, and good communication are essential to minimize these potential liabilities. Therefore, based on all the evidence, the potential liabilities that Clean may face are Tacy's unauthorized acts and negligence, and if Clean does not choose to hire Tacy as an employee contractor who incurs injuries during the job.

Conclusion:

Addressing and comprehending the agency laws, agreements, and contracts are essential for ensuring a secure relationship between Clean, Tacy, and qualified candidates for Clean's

business. Comprehending these contracts prevents future disputes and ensures customer satisfaction (Saylor Foundation, 2012, Chapter 8). Clean as the principal hired George Tacy, the agent, to recruit and hire employees for website development, IT support, and internal systems management. Tacy's authority has expressed, implied, and apparent, but implied is covered regarding the duties that Tacy must complete from Clean's agency agreement. Clean can hold Tacy accountable for Tacy's actions and liability for Tacy's torts as mentioned previously. In this report, it analyzes the rights, responsibilities, and potential liabilities of both parties. Clean holds the power to authorize, monitor, and seek indemnity from agent Tacy. Meanwhile, Tacy's authority, whether expressed, implied, or apparent, plays a role in hiring the best candidate for Clean's business. A vicarious liability connects Clean to Tacy's actions regarding the scope of the rights of both parties and the limitations of this agency agreement. A well-defined agency contract for the terms, agreements, and good communication are essential for good relationships and preventing liabilities. Therefore, the agency contract and agreement between Clean and Tacy are valid, Clean has the right as the principal to hire an agent to fulfill certain duties, the principal is liable for the agent's actions that Clean may be liable for, and the process to ensure qualified candidates are hired to work for Clean's company.

This report covers the possible inquiries related to the Agency Contracts and Agreements. If you have any further questions or need additional clarification, contact me.

Sincerely,

Victoria Lee (Legal Advisor, TLG)

References

Müller-Freienfels, W. (2024, March 8). *Agency Law*. Encyclopedia Britannica, https://www.britannica.com/topic/agency-law (Retrieved July 26, 2024)

Sherman, F. (2018). *The Definition of Principal Vs. Agent*. Chron, https://work.chron.com/definition-principal-vs-agent-14381.html (Retrieved July 26, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 8*. Saylor Foundation, https://saylordotorg.github.io/text_business-law-and-the-legal-environment-v1.0-a/s11-introduction-to-contract-law.html (Retrieved July 26, 2024)

Saylor Foundation. (2012). *Law for Entrepreneurs: Chapter 20*. Saylor Foundation, https://saylordotorg.github.io/text_law-for-entrepreneurs/s23-relationships-between-principa.html (Retrieved July 26, 2024)

Saylor Foundation. (2012). *Law for Entrepreneurs: Chapter 21*. Saylor Foundation, https://saylordotorg.github.io/text_law-for-entrepreneurs/s24-liability-of-principal-and-age.html (Retrieved July 26, 2024)